

SEID 2364 – Assignment 7 EU AI Act System Evaluation

Part 1 – System Description

Selected System: AI Hiring System

The AI hiring system is designed to evaluate job applicants by processing resumes, qualifications, and assessment data. The system assists recruiters by ranking or filtering candidates based on predefined hiring criteria.

The system is mainly used by companies and HR departments during recruitment processes. Applicants interact with the system indirectly because their personal information is processed automatically before human review occurs.

Part 2 – Mediation Pathway

Source → Applicant Data → AI Screening System → Recruiter Dashboard → Hiring Decision

The pathway begins when applicants submit resumes and personal information. The AI system processes the data using machine learning models and produces candidate rankings for recruiters.

Transformation occurs when human information is converted into numerical scores and rankings. Visibility is limited because applicants often cannot fully observe how decisions are generated internally.

Part 3 – EU AI Act Classification

Core Function

The system is designed to support recruitment and employment decisions through automated evaluation of applicants.

Use Case 1 – Corporate Recruitment

A company uses the AI system to rank job applicants for interviews.

Classification: High Risk

This classification applies because employment decisions directly affect access to jobs, income, and opportunities.

Use Case 2 – Internship Filtering

A company uses the system to filter internship applicants before human review.

Classification: High Risk

Even though internships may appear less serious than full employment, the system still affects educational and professional opportunities.

Use Case 3 – Internal Skill Recommendations

The system suggests training opportunities for current employees without making final employment decisions.

Classification: Limited Risk

This use case is lower risk because the AI only provides recommendations rather than directly determining employment outcomes.

Part 4 – Justification Using the EU AI Act

The EU AI Act identifies AI systems used in employment and worker management as high-risk systems. AI hiring systems can influence recruitment, career opportunities, and economic outcomes.

Because of this classification, companies deploying the system would need to follow obligations related to transparency, risk management, human oversight, and data quality.

One challenge is that the Act may classify systems differently depending on how they are deployed. A recommendation tool may appear lower risk initially but could become high risk if companies rely heavily on automated outputs.

Part 5 – Risk and Harm Analysis

One major risk is discrimination. If training data reflects biased hiring patterns, the AI system may unfairly disadvantage certain groups.

Another risk is lack of transparency. Applicants may not understand how decisions are made or why they were rejected.

There is also a risk of overreliance on automation. Recruiters may trust system outputs too strongly and reduce human review.

Part 6 – Regulatory Gaps and Critique

Although the EU AI Act creates safeguards for high-risk systems, some limitations remain. The regulation may not fully address how bias develops through changing deployment contexts.

Another issue is accountability. Responsibility can become distributed between developers, companies, and recruiters, making it difficult to identify who is responsible for harm.

The Act also focuses strongly on classification, but real harms may emerge from everyday operational practices rather than from the classification category alone.

Conclusion

The AI hiring system would most likely be classified as a high-risk AI system under the EU AI Act because it directly affects employment opportunities and economic outcomes.

The regulation provides important safeguards, but ethical concerns about bias, transparency, and accountability still remain. Effective governance requires both legal compliance and continuous ethical evaluation of how the system is deployed in practice.